

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **“Zootopia 2” eclipsed** “Avatar: Fire and Ash” to become Disney’s highest grossing movie release of 2025 at the global box office. **B1, B2**
- ◆ **Behind the crash of Intel’s** stock price last week were investors who were reminded of the deep operational problems that left the once-great chip maker in need of a rescue in the first place. **B1**
- ◆ **Merck is no longer** in discussions to buy Revolution Medicines, abandoning a quest for a deal that could have valued the cancer-drug biotech at around \$30 billion. **B2**
- ◆ **Solos sued Meta** Platforms and EssilorLuxottica, alleging that the companies infringed on its patents for smart-glasses technologies. **B5**
- ◆ **A Jefferies Group-backed** investment fund sued FAT Brands, claiming the restaurant franchiser defaulted on its debt by failing to deliver certain pledged shares. **B3**
- ◆ **Swedish buyout group** EQT agreed to acquire U.K.-based private-equity firm Collier Capital for up to \$3.7 billion. **B5**
- ◆ **EQT is leading a** \$300 million investment in hospitality management software provider Mews in a bet on the power of AI to transform the hotel industry. **B5**
- ◆ **Cyclic Materials, which** just raised \$75 million from investors, plans to open an Arizona recycling facility to mine expired electronics for valuable commodities. **B5**
- ◆ **Cyber insurer Beazley** said it turned down a fifth takeover offer from Switzerland-based Zurich Insurance that values the U.K. company at £7.67 billion, or \$10.30 billion. **B5**

Worldwide

- ◆ **The fatal weekend** shooting of a second person in Minneapolis this year by immigration agents escalated an already tense battle between state and U.S. officials over federal operations in that area. **A1, A2-3**
- ◆ **Trump declined to say** whether the officer who fired had acted appropriately and said the administration is reviewing the incident. **A1**
- ◆ **Senate Democrats** angered by the shooting said they wouldn’t vote for a government funding package without major changes to its homeland-security provisions. **A3**
- ◆ **China’s senior general** was accused of leaking information about the country’s nuclear-weapons program to the U.S. and accepting bribes. **A1**
- ◆ **The Pentagon adopted** a conciliatory tone toward Beijing in its new defense strategy, emphasizing “strategic stability” in the Indo-Pacific region. **A9**
- ◆ **Trump said the U.S.** would impose 100% tariffs on all Canadian goods coming into the U.S. if “Canada makes a deal with China,” escalating a brewing trade war between the North American neighbors. **A4**
- ◆ **The American Academy of** Pediatrics recommends children be vaccinated against 18 diseases, more than the U.S. government directs after it overhauled its schedule. **A6**
- ◆ **Israel is backing** new militias fighting Hamas in parts of Gaza that are supposed to be off limits to Israeli troops. **A8**
- ◆ **Eleanor Holmes Norton,** the District of Columbia’s longtime delegate to Congress, moved to end her reelection campaign. **A4**

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Winter Wallops Much of the U.S.



BETTY IMAGES

BIG FREEZE: A blast of heavy snow and arctic temperatures hit much of the country on Sunday. Downed tree branches in Nashville, Tenn., caused many to lose power. **A3**

Wall Street Starts to Cool On Formerly Hot Software

By SAM GOLDFARB

Software companies’ pitch to investors could use an upgrade.

Once a favorite of Wall Street, software stocks have been sliding lately, with investors increasingly concerned about how the sector could be upended by their newest crush: artificial-intelligence companies.

Rocked by the emergence of “vibe coding”—the practice of using AI tools to quickly produce apps and

websites—software heavyweights Salesforce, Adobe and ServiceNow are all down at least 30% since the start of last year.

An S&P index of small and midsize software stocks is also down more than 20% over that period, with declines accelerating this month after the introduction of Anthropic’s Claude Code, an AI tool that industry insiders have said can dramatically shrink the time it takes to build even complex software.

At a time when many investors are wondering if the AI investment boom itself might be a bubble, software’s slump is a reminder of how quickly fortunes can change on Wall Street.

“The narrative has really shifted,” said Rishi Jaluria, a software analyst at RBC Capital Markets.

Investors, he said, have gone from initially thinking that software companies could benefit from AI to asking, “Is AI just the death of

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New Shooting Fuels Standoff In Minnesota

Control of evidence in latest killing deepens clash between state and federal officials

The fatal weekend shooting of a second person in Minneapolis this year by immigration agents escalated an already

By Jack Morphet, Brenna T. Smith and Jack Gillum

tense battle between state and U.S. officials over federal law-enforcement operations that have turned deadly.

The Saturday morning killing of 37-year-old Alex Pretti, like the one earlier this month of Renee Good, 37, was captured on video from witnesses. Videos shared across social media of the moments before Saturday’s shooting show Pretti filming federal officers and then being confronted by them.

Agents appeared to spray a chemical irritant at Pretti, who was an intensive-care nurse, and another person. In the moments before shots were fired, Pretti was on the ground, surrounded by multiple agents.

Federal agents claimed Pretti forced their hand, alleging he “violently resisted” disarmament until the officers fired “defensive shots.”

The video footage appears to tell a different story. A frame-by-frame review by The Wall Street Journal shows a federal officer pulling a handgun away from Pretti. Less than a second later, an agent fires several rounds. Pretti died at the scene.

In a U.S. District Court filing *Please turn to page A2*

- ◆ **Local police losing trust in federal tactics.....** **A2**
- ◆ **What is known about latest shooting victim....** **A3**
- ◆ **Democrats won’t back homeland security bill....** **A3**

Trump Says Killing Is Being Reviewed

By JOSH DAWSEY

WASHINGTON—President Trump declined to say whether the federal officer who fatally shot a man in Minnesota this weekend had acted appropriately and said the administration was reviewing the incident.

In a five-minute telephone interview with The Wall Street Journal on Sunday, Trump didn’t directly answer when asked twice whether the officer who shot Alex Pretti had done the right thing. Pressed further, the president said, “We’re looking, we’re reviewing everything and will come out with a determination.” Administration officials have publicly defended the officer.

The president criticized

Pretti—the 37-year-old who was killed by a federal Border Patrol agent Saturday morning on a Minneapolis street—for carrying a gun during protest activity.

“I don’t like any shooting. I don’t like it,” Trump added. “But I don’t like it when somebody goes into a protest and he’s got a very powerful, fully loaded gun with two magazines loaded up with bullets also. That doesn’t play good either.”

Trump also signaled a willingness to eventually withdraw immigration enforcement officials from the Minneapolis area.

“At some point we will leave. We’ve done, they’ve done a phenomenal job,” he

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INSIDE



MAX S. GEBER/UNIVERSITY OF WISCONSIN-MADISON/AP

U.S. NEWS

Columbia hires as its president the leader of the University of Wisconsin-Madison. **A6**



ROSS D. FRANKLIN/AP

PERSONAL JOURNAL

In our ranking of best and worst airlines of 2025, Southwest comes out on top. **A11**

Toughest Job for California Billionaires: Proving You Left

* * *

Advisers recommend leaving such clues as a ‘We’ve moved!’ note on Christmas cards

By LAURA J. NELSON AND JULIET CHUNG

A proposed billionaire tax has some of the richest Californians eyeing the exits. First they’ll have to contend with the state’s dogged tax collectors.

California has one of the nation’s highest personal income-tax rates on high earners. It’s also home to officials who pore through phone logs, look for country-club memberships and double-check visits to the dentist—all to see what really functions as home.

This can be a tricky question. The superwealthy might

have a house in the Bay Area or the Hollywood Hills, but also spend time in a Paris apartment, a Florida compound or a yacht off the coast of Greece.

Also, California has few hard-and-fast rules on residency. Tax advisers say you’re generally considered a resident if California is your “domicile”—a true home base to which you plan to return. A person domiciled in California who spends time elsewhere is sometimes still expected to pay state income taxes.

“If you leave, you really have to leave,” said Steven To

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Beijing Accuses Top General Of Giving U.S. Nuclear Data

By LINGLING WEI AND CHUN HAN WONG

China’s senior-most general is accused of leaking information about the country’s nuclear-weapons program to the U.S. and accepting bribes for official acts, including the promotion of an officer to defense minister, people familiar with the allegations said.

The briefing—attended on Saturday morning by some of the military’s highest-ranking officers—came just before

China’s Ministry of National Defense made the bombshell announcement of an investigation into Gen. Zhang Youxia, once considered Chinese leader Xi Jinping’s most-trusted military ally.

The people familiar with the briefing—which hadn’t been reported until now—said Zhang is under investigation for allegedly forming political cliques, a phrase describing efforts to build networks of influence that undermine party unity, and abusing his authority within the Communist

Party’s top military decision-making body, known as the Central Military Commission.

Authorities are also scrutinizing his oversight of a powerful agency responsible for the research, development and procurement of military hardware. Those familiar with the briefing said Zhang was alleged to have accepted huge sums of money in exchange for official promotions in this big

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◆ **Pentagon strategy eases tone on China.....** **A9**

China Learns From Animals To Train an AI-Driven Military

Beijing researchers study hawks and coyotes to develop war machines that can pick off prey and chase down enemies

By JOSH CHIN

Engineers studying drone combat at one of China’s top military-linked universities needed a way to simulate clashes between drone swarms in real time. They turned to nature for inspiration.

Observing how hawks select prey, they trained defensive drones to single out and destroy the most vulnerable enemy aircraft. On the other side, the attacking drones were taught how to dodge the hawk-trained defenders based on the behavior of doves. In a five-on-five test, the hawks destroyed all the doves in 5.3 seconds.

That research earned the engineers a patent in April 2024—one of hundreds granted in recent years to Chinese defense compa-

nies and universities affiliated with the military for advances in swarm intelligence.

In the artificial intelligence Cold War emerging between the U.S. and China, military use of the technology has quickly become one of the hottest areas of competition. It’s also one of the most hazardous, with the desire to gain an edge putting pressure on commanders to turn over more and more warfighting power to machines.

Patent filings, government procurement tenders and research papers reviewed by The Wall Street Journal reveal that China’s military, the People’s Liberation Army, is intensely focused on harnessing AI to deploy swarms of drones, robot dogs and other autonomous systems. The idea is that they

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